Clio's LAW FIRM SUCCESS GUIDES

7 Steps to Easier, More Efficient Law Firm Billing

Learn to Save Time, Reduce Outstanding Bills, and Get Paid Faster

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Make the Most of your Time with Easier, More Efficient Billing

Managing the entire collection process—from tracking time and billing clients every month to receiving payments—is often cumbersome and time-consuming at any given law firm, taking lawyers and staff away from other valuable work that could be put towards clients.

When looking at these invoicing systems on a longer timescale—throughout the month and across several months—these pains and inefficiencies can have a significantly negative impact on the actual business.

Yet getting those bills out to clients every month is vital to the financial well-being of any legal practice.

The key to improving any system is to consider all of the touchpoints that can bog down workflows and create room for error. From there, you'll want to put in place the processes and tools to reduce friction and ensure detailed and accurate accounting of key information.

This is where technology can help. Today's legal technologies are designed to offer both the tools and the processes to improve efficiencies and workflows—and ultimately help businesses achieve their revenue goals.

Whether you still track all of your time on paper, in spreadsheets, or with other types of legal software at your firm, this guide will provide a quick overview of how Clio workflows can help you get your monthly billing done in minutes, manage outstanding invoices easily, and get paid faster.

Clio's billing and collection workflows are designed to vastly improve how you bill clients each month, making it faster, more efficient, and easier to manage for both you and your clients. You'll be able to assemble all of your monthly bills—with calculated totals based on specific hourly rates, taxes, and applicable discounting—in just a few quick steps, making it easy for you to share and collect your first payment within minutes.

"Clio's billing and collection workflows are designed to vastly improve how you bill clients each month.

Section 1

Learn to Bill & Collect in Clio in 7 Easy Steps

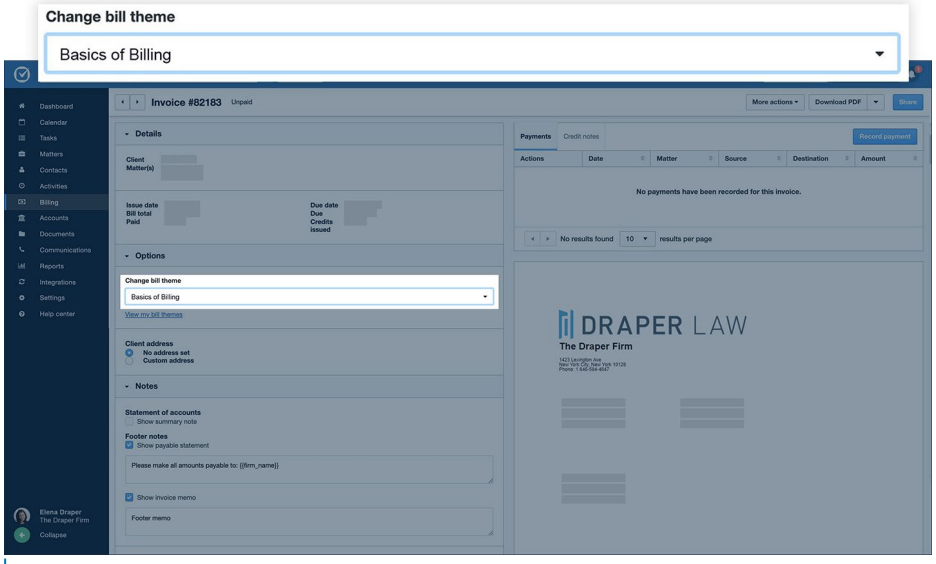
STEP 1: CONFIGURE YOUR BILLING AUTOMATION SETTINGS

"This process takes only a few minutes, and should reflect your firm's billing criteria."

To take full advantage of the billing and collection capabilities available in Clio, you'll want to spend a few minutes setting up a few basic parameters to align with your firm's standard billing terms. These settings will be the default for any bills created by your firm, but they can also be customized for specific users, clients, and even activity types throughout your firm's billing cycles—which we'll explain in more detail in the next section.

Anyone with administrator access can update all of your firm's settings in Clio, so you'll want to ensure the appropriate firm members have these permissions. This process takes only a few minutes, and should reflect your firm's billing criteria.

Once you've set up your base settings, you and everyone at your firm can begin entering their billable line items for individual clients and matters, paving the way for fast, easy work entries and one-click billing. You'll also get the peace of mind that all of these billing parameters are consistent and accurate in all of the bills you create and send.

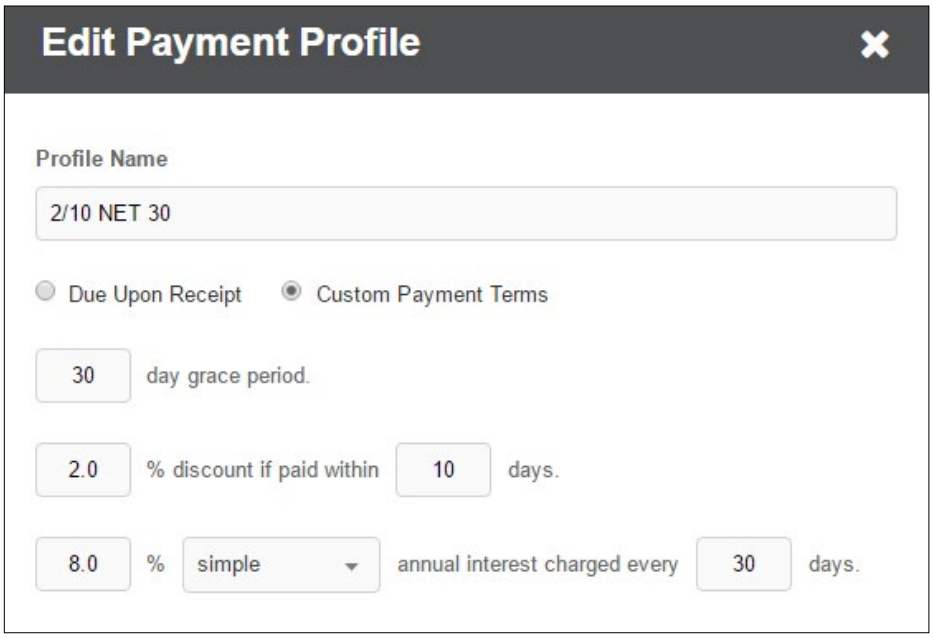


Create customized bills in Clio that automatically update key information.

STANDARD BILLING PARAMETERS

Setting your firm's standard billing parameters will ensure that all of your bills reflect your everyday operations:

- **Currency.** Clio defaults to $USD as the primary currency, but you can customize to other currencies (€, £, ¥, etc.) based on your location.
- **Tax rates.** If applicable, you can set one or more tax rates according to how you want them to be applied to a client's bill.
- **Time rounding increments.** Clio gives you the option to round time entries to a specific decimal amount or custom minute increment, as determined by your firm's common practice.
- **Terms of bill payment.** You can set custom terms for payment, which include grace day periods, discounts for early payments, or interest amounts to be charged when the bill goes unpaid beyond a set number of days. Different terms can be created for different client types.



Set payment term profiles that will be applied to bills in bulk.

"These rates and fees will be the baseline for calculating bill totals, which can be adjusted at any time leading up to the final issuing of the bill."

DEFAULT BILLING RATES AND FEES

Be sure to set your firm's baseline billing rates and fees, which can include multiple parameters for different types of matters and activities. These rates and fees will be the baseline for calculating bill totals, which can be adjusted at any time leading up to the final issuing of the bill:

- **Hourly rates.** Each member at your firm can set their own billing rate, which will apply automatically to any of their time entries logged in Clio. For firms that charge unique rates for different clients or case types, these amounts can be customized for each matter or contact.
- **Flat fee activity types.** For firms charging flat rates, you can preset fees based on individual billable tasks to reflect your firm's rate sheet. Logging those tasks in your billing software will automatically attribute those base fees, which can also be customized for each client, matter, or individual task.
- **Contingency fee rate.** Contingency fee rates can be set for each matter, which will determine how much is owed to your firm when a bill is generated with a settlement amount. For all contingency-based matters, you can also log expense items to be billed as their own line items on an invoice.

For all flat fee activities and contingency fee matters, you can also log non-billable time to better understand productivity and profitability for this work.

Pro Tip: Even if your firm bills primarily by flat fees or on a contingency basis, setting a base hourly rate allows you to track time against individual cases to help determine the profitability of each case you take on.

STEP 2: LOG WORK INTO CLIO

"One way to maximize the benefit of Clio's billing workflows is to have individual contributors log their work directly into Clio."

Without a system like Clio, inputting all of your firm's work into individual bills is a time-consuming and arduous task to take on every month.

Whether you've been inputting this data from a paper time sheet or a meticulous spreadsheet, it takes time to recreate all of this information within each bill, and then to reference and include all of the unique contact information stored in your firm's address book. In other words, even if you log all of your time regularly, not doing it directly in your billing software means you'll have to do it more than once.

Clio provides a comprehensive system to help you and everyone at your firm manage their time entries, ensuring that all records are linked to a specific matter and contact—making it easier and more convenient for Clio to assemble bills in bulk at the end of the month.

Pro Tip: You can easily sync Clio to your existing address book in Outlook or Google. Once integrated, this will automatically import all of your existing contacts—including client email addresses, phone numbers, and mail addresses—into Clio, and any updates to your contacts in one software will automatically update in the other.

RECORD WORK ENTRIES

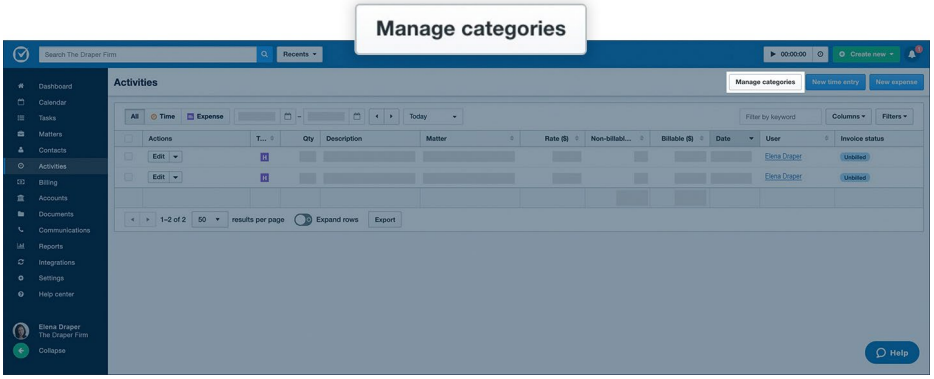
One way to maximize the benefit of Clio's billing workflows is to have individual contributors log their work directly into Clio.

Whether logging time entries or flat fee activities, inputting this information directly into Clio saves the lawyer, paralegal, or assistant from having to do it later on. It's also a great way to ensure those billable work entries are logged in a secure place where they won't be lost or forgotten before it comes time to send out the associated bills.

LOG WORK FROM ANYWHERE

Billing software makes it extremely easy to log time: You can leave the software open on your computer and either log individual time entries as you complete them or run a timer within the software as you work.

You can also log your work via mobile phone, which is useful if you conduct a significant amount of work outside of the office. For a detailed look at the different ways to log time into Clio, read **"10 Ways Lawyers Can Track Time with Clio."**



Log work entries from anywhere, and Clio will keep a summary of activities for everyone at your firm. When it comes time to invoice clients, Clio will apply all unbilled work to client bills automatically.

Pro Tip: To save time and ensure consistent descriptions, create "short codes" to autofill a detailed task description from a predefined character code. For example, you could set "OWT" to input the words "Onsite witness testimonial" as a task description.

RECORD EXPENSES

Logging expenses is just as easy—through your computer or mobile device—and you can create predefined expenses for your firm based on set fees outlined in your firm's rate sheet. These expenses can also be categorized depending on whether they are hard or soft costs, as well as other custom labelling.

INCLUDE DETAILED TASK NOTES

You can also include any task notes to identify exactly what work was performed. This information can then be included automatically in the associated bill, helping provide a clear, transparent record for the client.

Once each work entry is complete, you can log it directly to a matter or client. By default, these entries will default to an “Unpaid” status, which means that they’ll be automatically included in the next batch of bills that you run come your next billing period.

BEST PRACTICES FOR LOGGING TIME AND TASK ENTRIES

LOG ENTRIES DIRECTLY INTO YOUR BILLING SOFTWARE

To maximize efficiency at your firm, log all your firm’s work entries directly into your billing software. This saves lawyers and assistants from having to transfer time entries and descriptions later on.

LOG ENTRIES REGULARLY

Make sure to log your work as often as possible or run a timer while you work—this ensures that all of your records are up to date as often as possible, creating less work come billing time.

INCLUDE TASK DESCRIPTIONS WITH EACH ENTRY

This provides transparency to the client and helps prevent questions, complaints, or even malpractice claims down the road. Documenting your work as it’s completed also saves you from having to recreate your work after the fact—whether it’s at the end of the day, week, or month—and will reduce the risk of losing track.

STEP 3: SIMPLIFY BILL CREATION

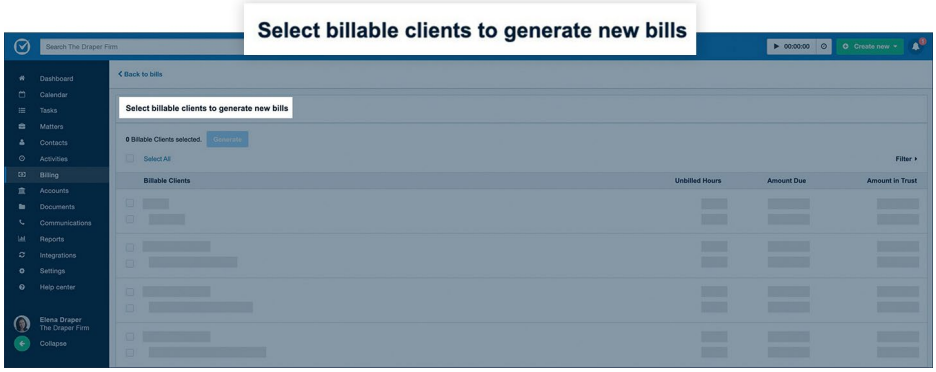
"When it comes time to bill your clients in Clio, you can create all of your bills at once with the click of a button."

The advantage of having a dedicated billing software is that it gives you so many options in how you generate your bills. You can generate one bill or a few at a time if there are clients with special considerations you need to account for, or you can generate all of your bills—for all outstanding billables—at one time.

With all of your firm's work documented within your billing software, you can quickly view all of your firm's unbilled work—and outstanding balances (more on this below)—in one place. It's up to you how you want to manage your invoicing.

USE BULK BILLING

When it comes time to bill your clients in Clio, you can create all of your bills at once with the click of a button. Within seconds, Clio will create customized bills for each of your clients each month, complete with unique contact information, issue date, work entries, task descriptions, calculated tax amounts, and bill totals. Each invoice will also be assigned its own due date and invoice number.



Clio will identify all billable clients and allow you to create a list of draft bills by clicking New Bills.

GENERATE BILLS IN BATCHES

Clio's billing workflows let you generate bills for select clients, matters, time periods, or other custom variables as needed. This can be useful if you bill different clients at different times of the month, or if certain clients require their own billing parameters. You can even generate your bills on a certain date, and then forward or backdate the actual issue date to the day you send them out—giving you more flexibility in your workflow.

Pro Tip: With Clio, you can create custom fields for additional information pertaining to individual contacts—for example, whether to bill electronically or by mail. This allows you to generate bills for a specific group all at once. You can then run all your bills for clients who need to be mailed, and print all of their invoices in one batch.

CREATE QUICK BILLS FOR INDIVIDUAL CLIENTS

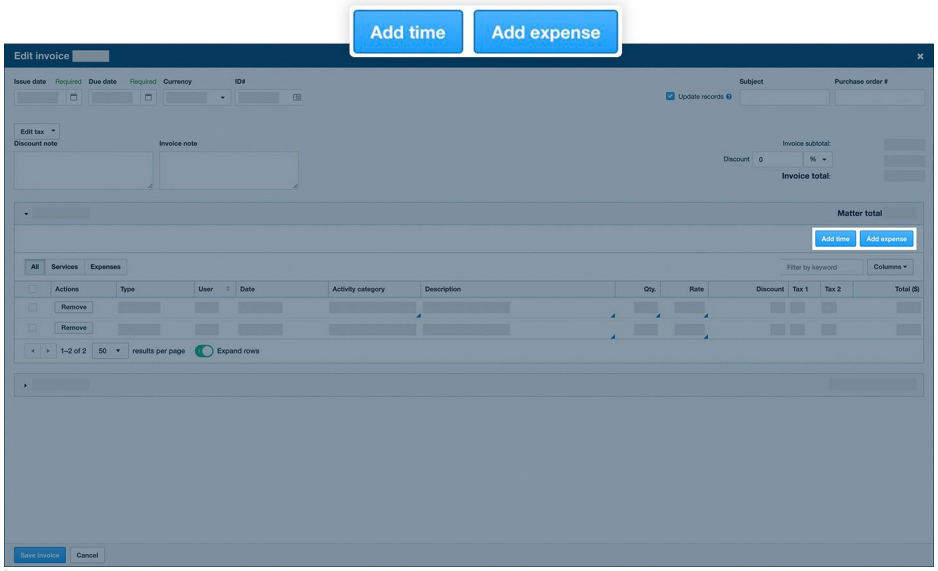
If you need to quickly generate a bill for a client, Clio will keep a record of which work has already been billed for—ensuring that work won't be billed for in any bulk billing procedures run later on.

STEP 4: REVIEW BILLS

"All of your billing information will always be up to date in all places at all times."

Once your bills have been created, they can be submitted to the responsible attorneys for review. All reviewing attorneys will receive a notification email with a custom message and link that directs them to a list of "pending invoices" for review. If you're doing this on your own, you can skip this step—but it's also a valuable opportunity to review all of your line items to ensure nothing was missed.

Each attorney can quickly scroll through each bill, approving them one at a time or in bulk. They can also edit time entries, add more time, or add or revise the associated notes and dates. All updates made to draft bills will be reflected in the associated time entries and descriptions entered for their associated matters and clients. This means that all of your billing information will always be up to date in all places at all times.



Edit time entries, add more time, or add or revise notes and dates any time before sending a bill to a client.

ADD DISCOUNTS, CREDIT NOTES, AND WRITE-OFFS

Since the billing attorney will know the most about their client's casework, billing situation, and overall relationship with the firm, they're able to apply discounts as needed while reviewing bills. They can apply discounts to individual line items or bill totals. Credit notes and write-off amounts can also be applied later on if needed.

APPLY FUNDS HELD IN TRUST

As managers of client funds held in trust, attorneys can apply trust amounts as payment toward individual bills when reviewing them. These trust payments will be clearly documented on the client bills, which can be set to include a statement of accounts, record of account activity, and a summary of any amounts outstanding. This ensures that your clients have a full record of trust activities and what outstanding fees they still need to pay.

Applying trust amounts to bill totals can also be done in bulk. This function will apply available trust amounts to any outstanding bill totals, while also calculating totals for any amounts outstanding.

CUSTOMIZED BILL THEMES TO MATCH YOUR FIRM'S BRAND

With Clio, you can customize both the look and feel of your bills by setting logos, typefaces, font size, and color schemes. You can also customize the content of your bills by specifying what details to include, such as the name of each billing attorney and whether to include task notes for each line item.

If your firm holds client funds in trust, you can include a statement of accounts, including a summary of balance, record of transactions, and a list of payments made toward bills. You can also create different themes for individual client types who may require that different types of information be included on their bill.

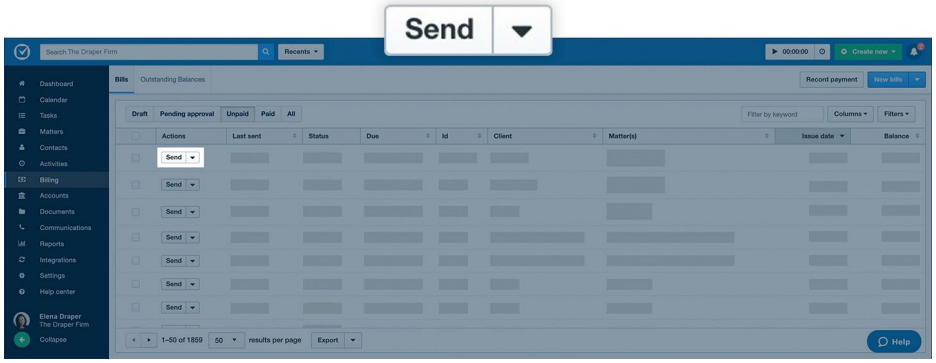
STEP 5: SHARE BILLS WITH CLIENTS

Without a system like Clio, once your bills have been created, sharing them takes a significant amount of time if you're sending them to each contact individually (either by mail or electronically via email). Clio's billing and collection workflows are designed to eliminate the work it takes to share bills with clients individually by doing this for you in one bulk action.

In Clio, when you store email information within each client's billing profile, sharing bills is easy. Once bills have been approved, they can be shared in bulk or individually via email or secure client portal—complete with customized messaging.

- **Sharing by email.** Clients will receive your message with a link that allows them to view or download their bill.
- **Sharing by client portal.** Clients will receive a link to a password-protected portal, which they can log into to view their bill.

Billing clients electronically also gives you the advantage of being able to collect payments electronically, saving you from having to manually update your billing records and submit a check to the bank yourself (more on this below). For clients who prefer to receive hard copies of their invoices, you can also print select invoices individually or in bulk.



Quickly share multiple bills via email or secure client portal with the click of a button.

STEP 6: COLLECT PAYMENTS

"57% of electronic payments get paid within 24 hours of receiving a bill."

In the full scheme of everything, billing clients is really only the beginning of what you're really trying to accomplish: getting paid.

There are multiple ways for clients to pay their bills, and Clio's billing and collection workflows are designed to reflect this. Whether clients are paying by check, by funds held in trust, or electronically via credit card, Clio will help ensure that all of your revenue-generating records are up to date at all times.

ELECTRONIC PAYMENTS

By far, the easiest, most convenient way for both clients and lawyers to settle a bill is through electronic payments. While paper billing requires printing, envelopes, and physically mailing bills to clients, electronic bills are instantaneous and efficient.

Clio's billing and collection workflows ensure that you have a full record of all your past billing as well. With electronic payments, Clio will update your billing records—making day-to-day bookkeeping that much easier and more efficient

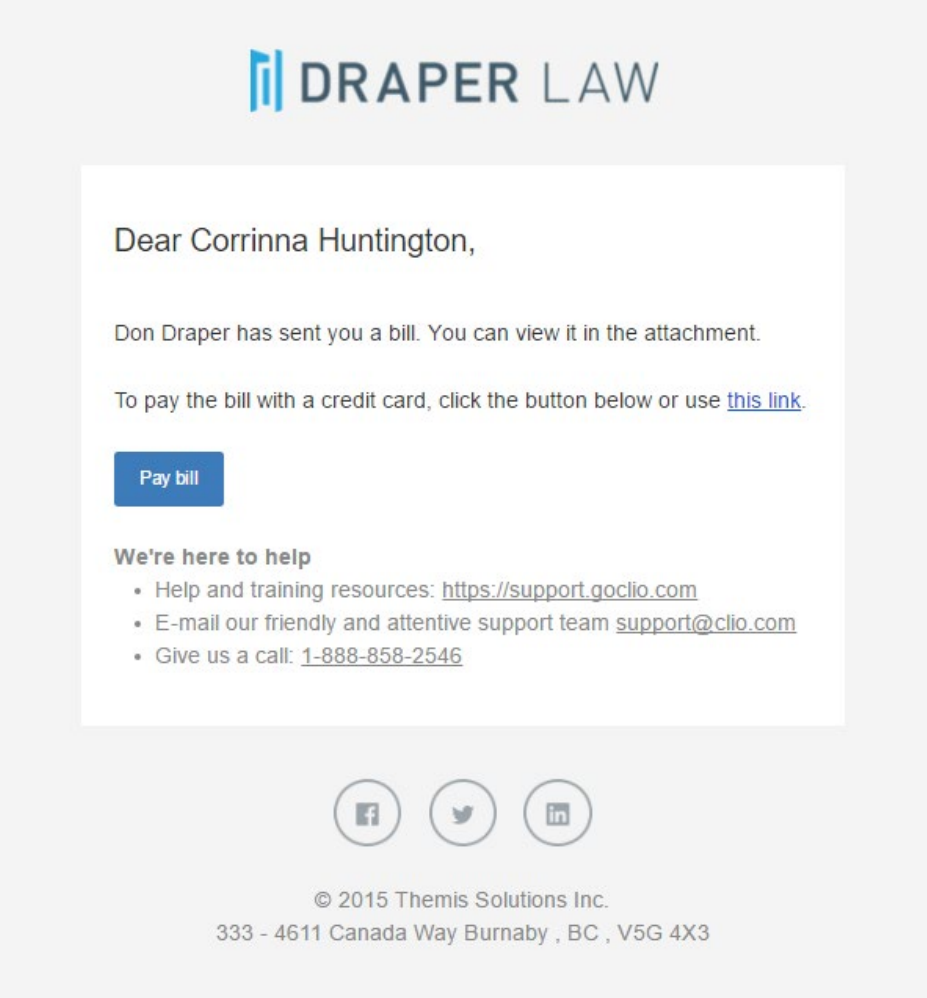
Here's what a typical payment workflow looks like through Clio:

1. The client receives their bill immediately with a secure payment link to pay their bill.
2. The client clicks the payment link and submits their payment information, much like they would using PayPal or any other secure payment service.
3. Once the payment has been completed, Clio updates the bill status to "Paid," and the funds are automatically transferred to your firm's bank account.

SETTING UP AUTOMATED PAYMENT PLANS

Sometimes clients can't afford to pay their entire bill upfront and may need to go onto a payment plan. By using Clio's online payment system, you can set up a payment plan with custom amounts, period lengths, and durations. Payment plans can also be set to expire on a specific date or when a total payment amount has been reached.

Payment plans are also a great option for collecting a monthly retainer or for topping up trust accounts to a predefined amount.



DRAPER LAW

Dear Corrinna Huntington,

Don Draper has sent you a bill. You can view it in the attachment.

To pay the bill with a credit card, click the button below or use this link.

Pay bill

We're here to help

- Help and training resources: https://support.goclio.com
- E-mail our friendly and attentive support team support@clio.com
- Give us a call: 1-888-858-2546

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With Clio Payments activated, clients have the option to pay their bills online immediately.

HOW CLIENTS WANT TO PAY

Electronic payments are fast becoming the norm among legal service providers, and it's what clients have come to expect. According to research in the **2018 Legal Trends Report,** 50% of clients are more likely to hire a lawyer who takes electronic payments, 47% are more likely to hire a lawyer who accepts automated payments or fund transfers, and 40% would never hire a lawyer who didn't take credit or debit cards.

Research in the 2019 follow-up report also shows that 57% of electronic payments get paid within 24 hours of receiving a bill.

STEP 7: FOLLOW UP ON UNPAID BILLS

"Clio makes it easy to see which bills haven't been paid, how long they've been outstanding, and what amounts are due."

Having a dedicated billing and payment collection system in place helps you keep all of your firm's billing data in one place. This makes it incredibly more efficient to assemble all of your bills every month. It also makes it much easier to manage all of your historical billing information when you need quick access.

BETTER BILLING SYSTEMS MAKE FOR BETTER BILLING MANAGEMENT

When dealing with clients who don't pay on time—whether it's just once or on a regular basis—following up can be inconvenient and time-consuming without the right system in place. And, often, it's not because they don't want to pay you, they just forget. This means—like it or not—it's up to you to remind them.

Part of the challenge is identifying which bills haven't been paid—but the work involved in reaching out to each delinquent client with details of what they owe can be just as challenging.

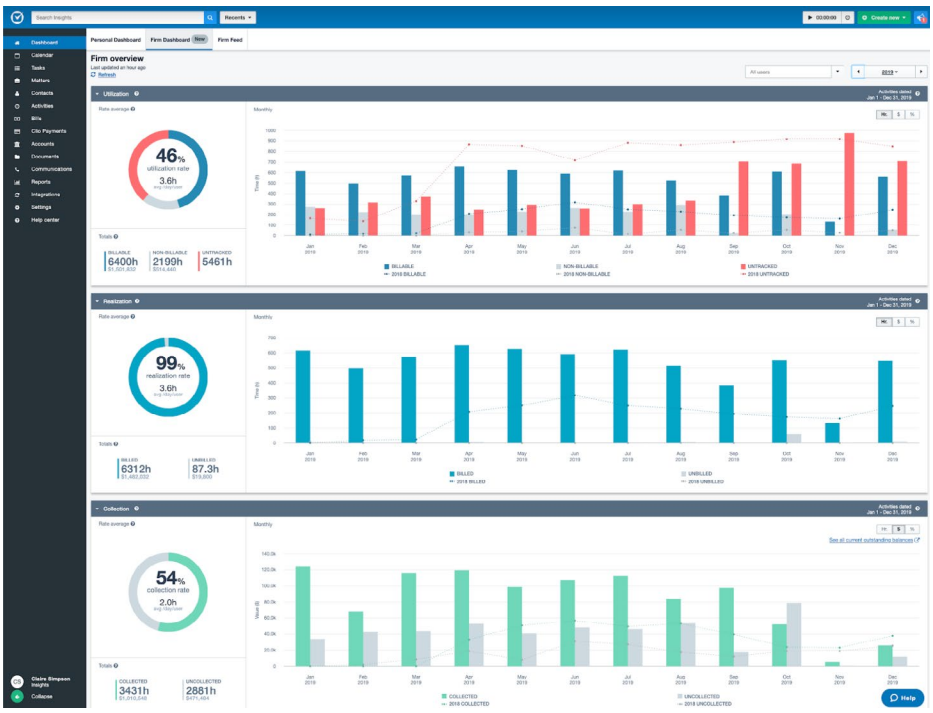
Clio makes it easy to see which bills haven't been paid, how long they've been outstanding, and what amounts are due. You can quickly sort and filter outstanding bills based on custom information, including unique client attributes or issue date, and quickly send email reminders to clients. The reminders will include all outstanding invoices, total amount outstanding, a link to pay their bill online, and an accompanying message that can easily be customized. Bills can have multiple recipients, and once designated as a recipient, they'll automatically appear when sharing future bills.

LEARN FROM YOUR BILLING AND PAYMENT COLLECTION DATA

When you track all of your firm's billing and payment information in one place, Clio can generate detailed reports on some of your firm's most important business metrics. For example, you can learn a lot about how

much time you put toward billable work each month, how much of your billable work makes it to an invoice (and how much gets left off), and what proportion of your billed work actually gets paid. Clio's firm dashboard gives you up-to-date insights on exactly this type of information.

Reviewing your billing and collection data over time gives you the benefit of knowing what you need to improve—helping you focus your energy on strategizing ways to improve both your productivity and profitability.



Monitor important business data with Clio's comprehensive firm dashboards.

Section 2

The Big Picture

From Entering Time to Taking Your First Payment in 1 Hour

"Within seconds, Clio will create draft versions of all your monthly bills."

Once you're up and running with Clio, you'll be able to generate and send bills—and collect your first payments—within minutes. Here's a quick summary of what it all looks like in one seamless workflow.

1. Configure your settings in Clio

In just a few minutes, you can set up Clio to manage your firm's billing with custom rates for each member at your firm, standard payment terms for invoices, and more.

2. Enter work into Clio

As each person at your firm enters their work into Clio, all of those entries enter an "Unbilled" state, meaning they're ready to be put into their associated bills.

3. Create all your bills at once

When it comes time to bill clients, you can create a set of draft bills with the click of a button. Within seconds, Clio will create draft versions of all your monthly bills. Each bill will include the customized client information, date, and invoice number, as well as a summary of all work performed. Clio will calculate all bill totals, taking into account taxes, interest, and discounts.

4. Review bills at a glance

Each responsible attorney reviews their bills within Clio. They'll be able to revise or add time entries, apply discounts, and apply trust quickly and easily. Any changes they make will be reflected within their original time entries and associated client trust ledgers.

5. Share bills with clients with one click

Once all of your bills have been approved, you can quickly send them to all of your respective clients with a customized message that they'll receive in their inbox.

6. Clio accepts payments and updates your billing records

When sharing bills electronically, clients will receive a link to pay their bill online. Once the payment has been approved, the bill status will automatically update to "Paid" in Clio and the funds will be deposited directly into your firm's bank account.

7. Send follow-up reminders in bulk

At any time, you can review a list of unpaid bills to send a reminder message informing them that their deadline is approaching, or that their payment is past due.

Centralized Practice Management Solution

Clio's billing and payment collection workflows are integrated into a comprehensive practice management solution that lets you store all of your contact and case information in one place, including all documents, calendars, case notes, and communications. Clio is also cloud-based, which means you can enter your time and manage your billing—securely—from anywhere.

With an all-in-one practice management solution like Clio, the possibilities for automation are near endless. A few examples of the organization and time-saving benefits available include:

- Perform quick and easy conflict checks by quickly searching all of your contacts, contact relations, and case notes.
- Customize profiles to include case-relevant information—such as spouse name, country of origin, or nature of injury.
- Automate profile data entry by having clients fill out electronic intake forms that auto-populate into your database, helping avoid manual entry and reducing the chance for error.

LEARN MORE ABOUT

The best way to assess any legal software for your firm is to either try it yourself or sign up for a free consultation with a practice management specialist.

→ clio.com

About Clio

Clio, the leader in cloud-based legal technology, empowers lawyers to be both client-centered and firm focused through a suite of cloud-based solutions, including *legal practice management, client intake and legal CRM software*. Clio continues to lead the industry with initiatives like the *Legal Trends Report*, the *Clio Cloud Conference*, and the Clio Academic Access Program.

Clio has been transforming the industry for over a decade with 150,000 customers spanning 90 countries, and the approval of over 65 bar associations and law societies globally.

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